



Nation Media Group

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INVESTOR BRIEFING H1 2014

AGENDA

- 2014 Highlights
- Divisional Updates
- Financial Results
- Interim Dividend
- Q&A



2014 Highlights

Easy Fm Re-launch



NATIONFM

Sense on air

Lake Zone Printing



County Focus

DAILY NATION
Thursday August 14, 2014

17

COUNTY NEWS

BIZARRE BURIAL WISHES >
A Kisumu man who died after a drinking contest tells friends to attend funeral in a woman's dress **Page 10**

MOMBASA BUDGET CRISIS >
Governor Hassan John rejects Sh1.1 billion estimates approved by his MCAs over huge allocation to the county assembly **Page 20**

Kisii | Conference to come up with remedy for ill-faring learning in the county

Arrest fall in learning standards, leaders say

Speakers alarmed by region's poor show in national examinations

BY DAVE ODIYO
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A major education conference began in Kisumu County yesterday with officials from out-taking standards.

The leaders who included Education Cabinet Secretary Jacob Kaimosi and Governor James Ogingua expressed displeasure over the performance of schools in the region especially in national examinations.

Mr Ogingua said the county, which had some of the best schools in Kenya, was now being labelled as learning institutions in hardship areas.

"Even schools in designated areas like Muji and Sandera within us. For instance, the all-rounder secondary school in Muji had an index of 14 with 44 students while the last ranked school in Mombasa had an index of 12.3 with 65 students."

"The last ranked school in our county had an index of 10.5 with 17 students. This is indeed a serious concern," said the Governor while officially opening the conference at Road University.

A similar trend of poor results was also being witnessed in primary schools which ranked within 34 out of 47, with a mean score of 24.4 marks out of the possible 50.

Hardship areas performed better than in hard hat. For example, West Pokot had a mean score of 25.2, and Mandera had 26.7. The last school in the county had a mean of 17.5 as compared to other counties

for learners. District education officers for capacity building to teachers and management boards.

He asked the national government to order some of its functions especially on the development of infrastructure to them. "When disasters occur in schools, for example a roof being blown off during a storm or a fire outbreak, management committees run to the county and through this function is not provided, we are expected to assist."

"We are asking the national government to consider devolving this function to counties which are better placed to handle infrastructure issues," he said.

He identified some of the issues as inadequate coverage of the syllabus, poor learning methods, abuse of drugs and alcohol, amongst others.

Governor Ogingua also attributed the poor performance to shortage of quality teachers and standards personnel, lack of clear guidelines and curriculum.

REACTIONS What they said at the meeting



Mr. James Ogingua, Governor Kisii
"Even schools in designated areas like Muji and Sandera within us."

Prof. Jacob Kaimosi, CS, Education
"We need to address the content. The curriculum should be in this region."

Mr. Ababu Mwireri, Assistant Secretary, General
"I am appalled by the status of some schools in this function today."



BRIEFLY

Narok >
Koskei says Sh9b will be used for irrigation in arid regions

Up to Sh9.7 billion has been set aside for irrigation in arid and semi-arid regions. Agriculture Cabinet Secretary Henry Koskei, who visited yesterday said irrigation would be launched in every county without enough funds. Spending in Narok during a three-day tour of Narok, Laikipia and Bomet Counties. Mr Koskei urged farmers to embrace irrigation. "It is the government's policy that farmers don't leave from rain-fed agriculture. From the money we have set aside, Sh1 billion will go to small-scale irrigation while another Sh5.5 billion will be used to rehabilitate and expand existing land under irrigation," he said. He added that Sh3.5 billion would go to Laikipia and Sh45 million would be used to position Narok's Spring.

— George Shupiga

Mandera >
Road construction worker dies after heavily armed men attack

One person died yesterday morning when gunmen attacked road construction workers in Mandera. The road construction workers were working on a road when they were attacked. The attack was carried out by heavily armed men. The road construction workers were working on a road when they were attacked. The attack was carried out by heavily armed men. The road construction workers were working on a road when they were attacked. The attack was carried out by heavily armed men.

Mombasa >
Health check to be carried out on victims of lead poisoning

The people of Uvira Uvira district will be examined for possible lead poisoning. Mombasa county health department has been given a day to complete the health assessment and file a report to a state-member group of senators. The report will be expected to come up with answers to several issues, including the extent of damage to people and the environment. It will also advise people on compensation. Yesterday, the state member met with the county health department authorities and officials from the National Environmental Management Authority who confirmed that the district authority after it failed to meet health safety standards. Mombasa will also conduct an environmental test on soil, air and water.

— Subodh Jadhav



Kisii Governor James Ogingua (center) flanked by Kisii University Vice Chancellor Prof. John Akumu (right) and County Education Executive Dr. Kibet Dimachia during the opening of Kisii Education Stakeholders Conference at the university yesterday. The conference will last for three days.

Enhanced Content



Men-Tality 3



Aunty Boss

Printing Press



New press expected in 2015

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H.E. UHURU KENYATTA

President of the Republic of Kenya

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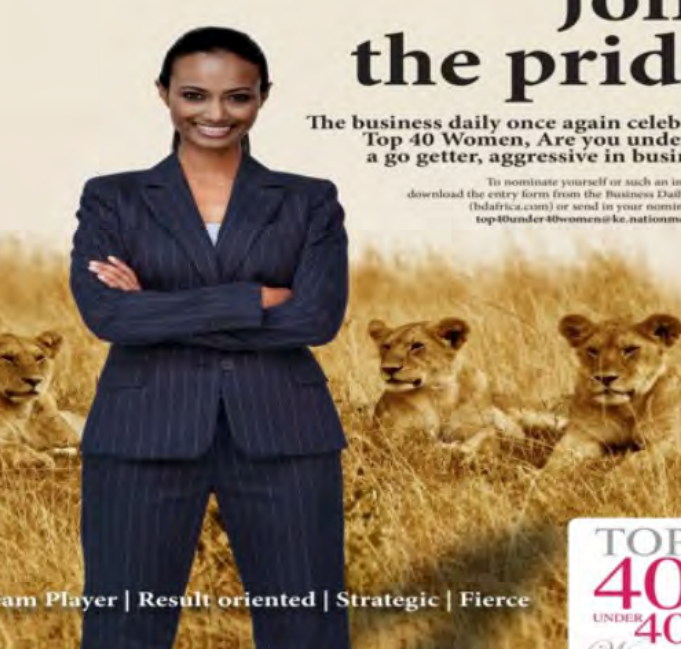


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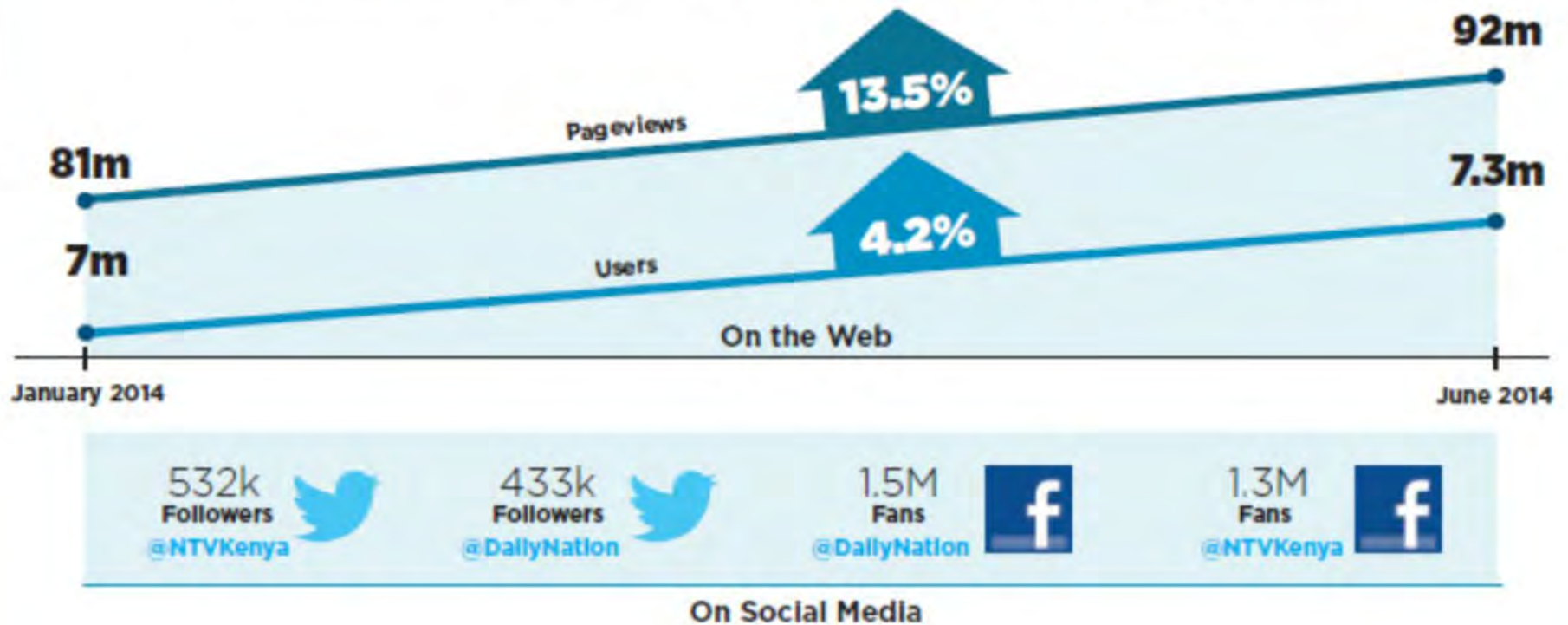
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Digital Space

The Group has maintained a competitive presence on digital platforms:





Divisional Updates

NATION NEWSPAPERS DIVISION

Direct Costs



14%

Operating Profit



1%

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Circulation Revenue



Operating Profit



Advertising Revenue



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Revenue



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Profit



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BUSINESS DAILY



MONITOR PUBLICATIONS

Revenue



Direct Costs



MWANANCHI COMMUNICATIONS

Circulation Revenue

↑ 23%

Advertising Revenue

↓ 3%

Operating Profit

↑ 15%



TV KENYA

Revenue



12%

Operating Profit



131%

Direct Costs



17%



NTV UGANDA

Advertising
Revenue



Direct Costs



RADIO KENYA

Revenue



23%

Direct Costs



22%



NATION DIGITAL

Total Revenue

 **10%**

Operating Results

 **194%**

Direct Costs

 **27%**

NATIONHELA

Total Revenue



73%



NATION RWANDA

Total Revenue

 **25%**

Operating Results

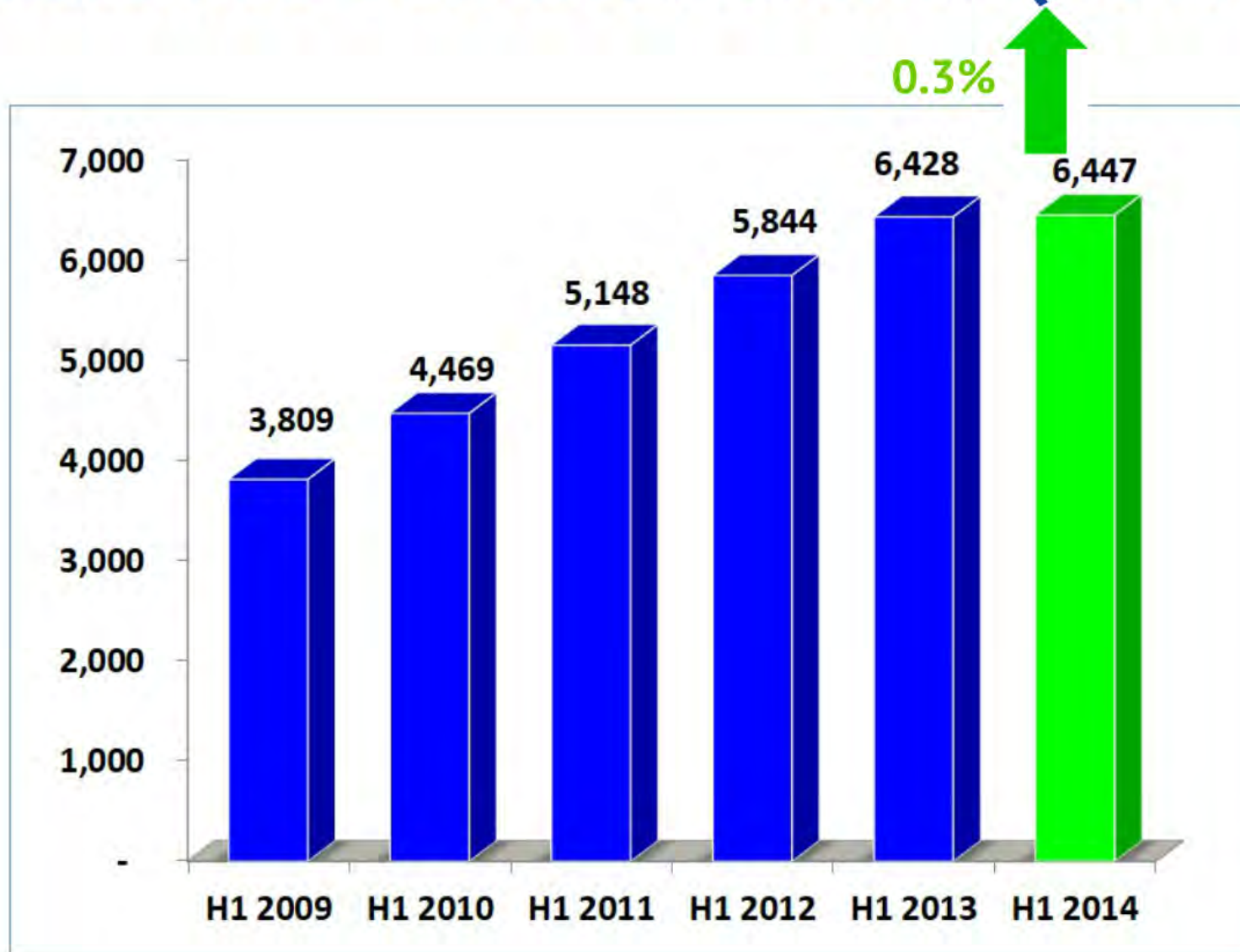
 **11%**

Operating Costs

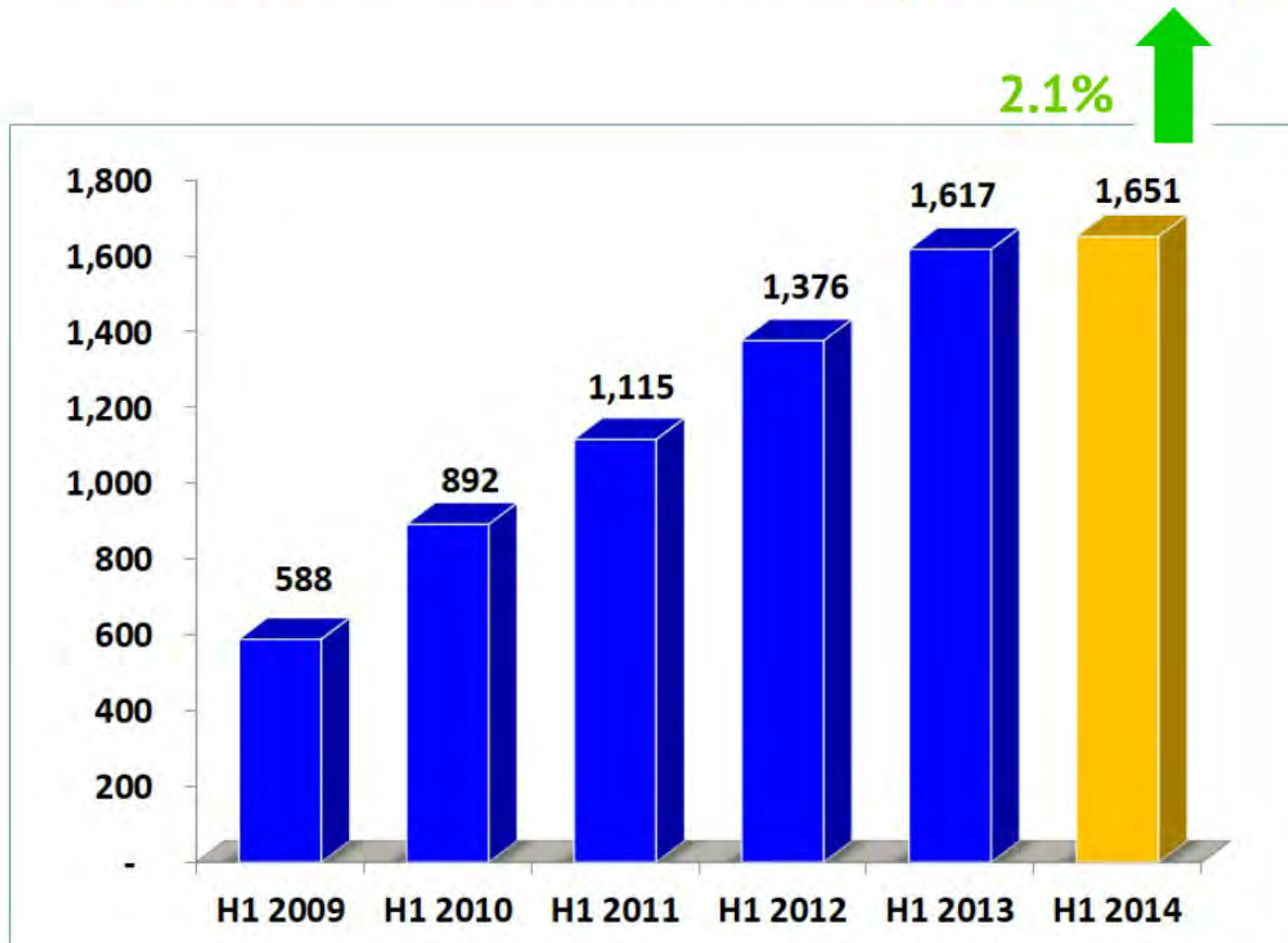
 **10%**

A close-up, blue-tinted photograph showing a portion of a white calculator with dark buttons, a silver and black ballpoint pen, and a printed document with columns of numbers, likely a financial statement or spreadsheet. The numbers are arranged in rows and columns, with some values like 321.39, 6 275.44, 929 206.82, 136 059.72, 53 520.83, 1 607 455.97, 7 474.49, 26 325.97, 22 139.25, 0.00, 275 761.25, 40 817.95, 16 056.25, 482 236.89, 2 242.36, 7 897.80, 6 641.78, 0.00, 689.75, 471.70, 1 034, and 4 144 visible. A 'Stockphoto' watermark is overlaid on the image.

Sustained Turnover Growth (Kshs M)



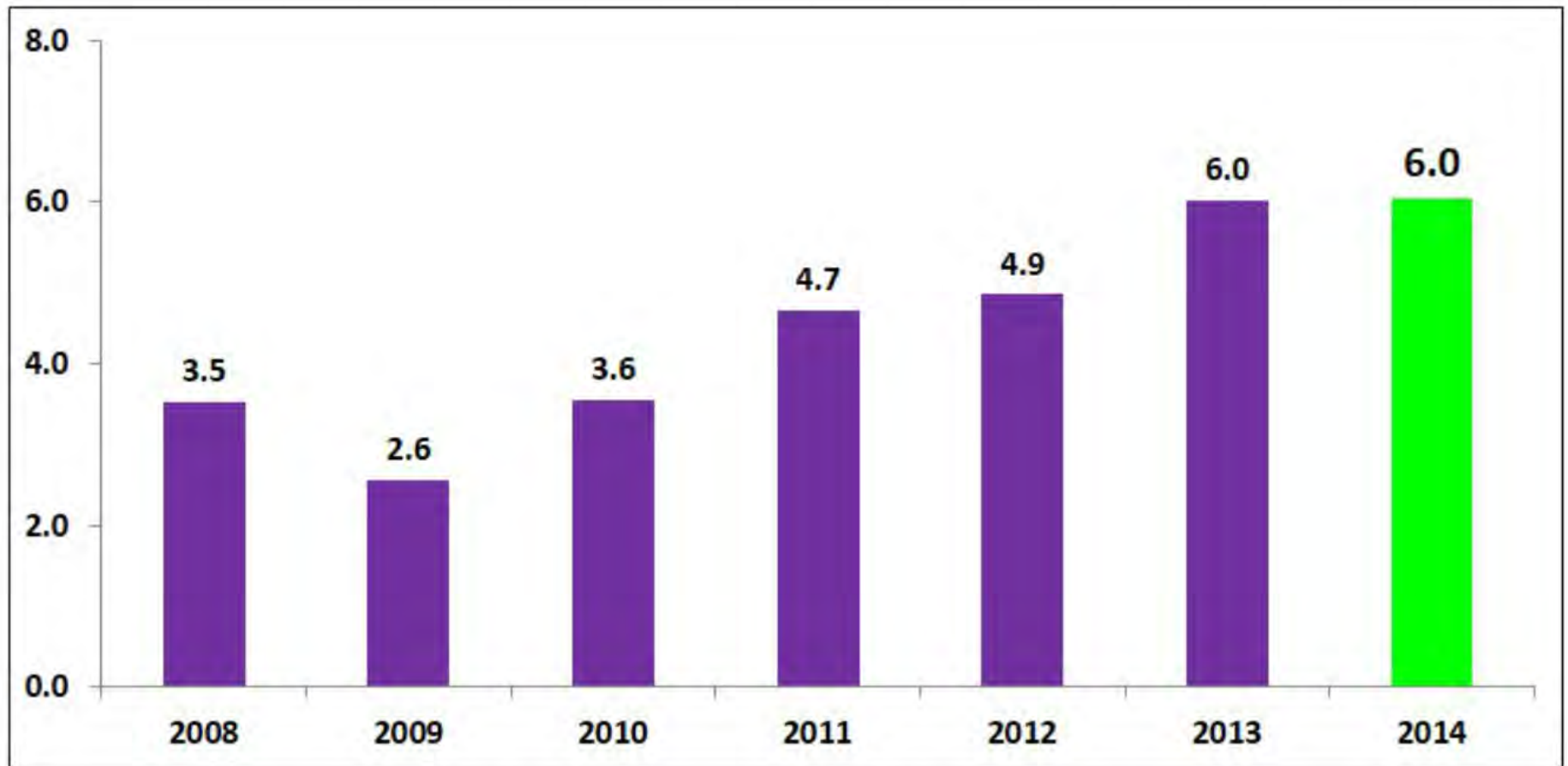
Profit Before Tax (Kshs M)



Consolidated Statement of Comprehensive Income (Kshs M)

	June 2013	June 2014	% Change
Turnover	6,428.1	6,446.6	0.3
Profit before Income Tax	1,616.9	1,650.8	2.1
Income Tax Expense	(502.0)	(503.8)	(0.4)
Other comprehensive income	15.9	(19.3)	(221.4)
Minority Interest	3.7	9.8	164.0
Profit Attributable to Shareholders	1,134.5	1,137.5	0.3

Earnings Per Share H1 (Kshs)



Condensed Cash Flow Statement (Kshs M)

	June 2013	June 2014
Cash generated from operations	1,175.2	1,212.5
Interest received	152.1	150.5
Interest paid	(10.1)	(6.6)
Tax paid	(816.3)	(685.2)
Net cash from operating activities	500.9	671.2
Net cash used in investing activities	(244.5)	(572.3)
Net cash used in financing activities	(9.9)	(13.3)
Increase in cash and cash equivalents	246.5	85.6
At start of period	3,960.3	4,093.7
At end of period	4,206.8	4,179.3

Consolidated Statement of Financial Position (Kshs M)

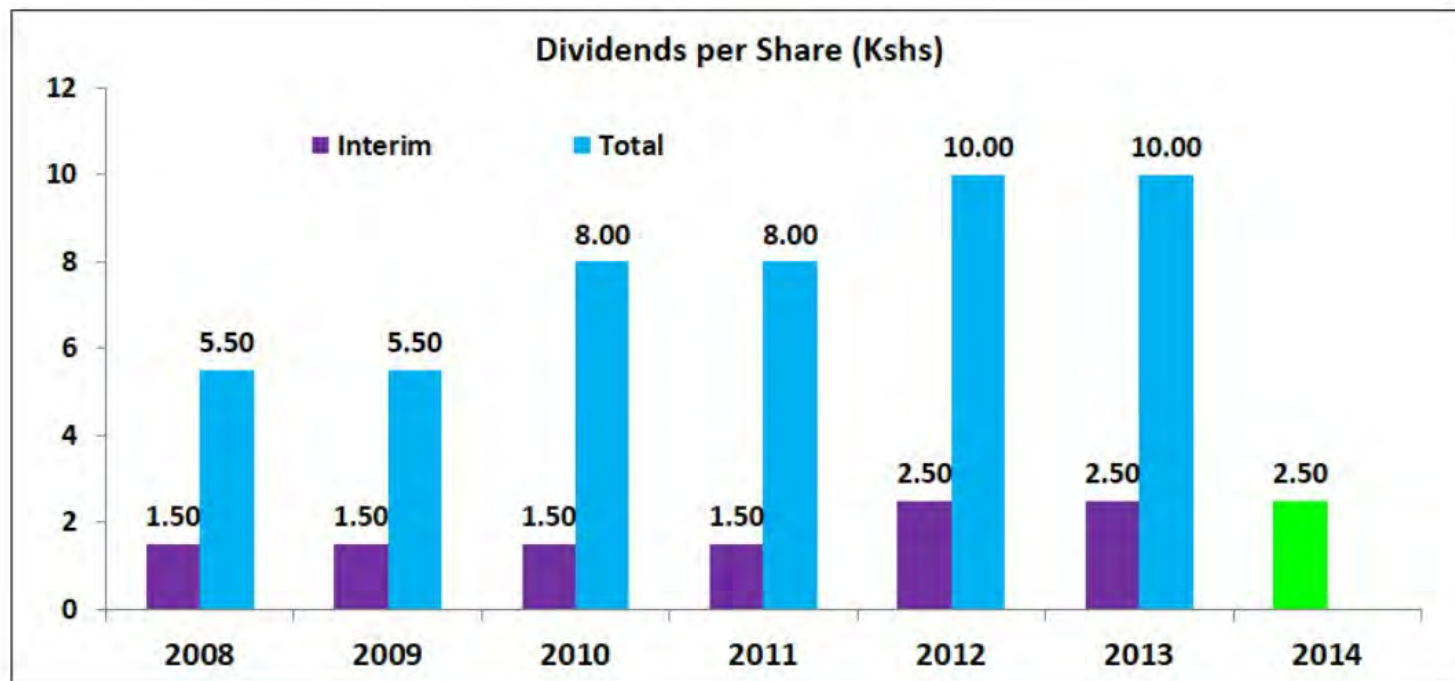
	Dec 2013	Jun 2014
Capital and reserves		
Share capital	471.4	471.4
Other reserves	132.4	114.2
Retained earnings	6,163.7	6,848.1
Proposed dividends	1,414.1	1,885.4
Minority Interest	61.8	52.0
Non-current liabilities	84.4	71.3
Total Equity & Non-Current Liabilities	8,327.8	9,442.3
Assets		
Non-current assets	3,589.9	3,933.9
Working capital		
Current assets	7,854.3	8,392.2
Current liabilities	3,116.4	2,883.8
Net working capital	4,737.9	5,508.4
Total Assets	8,327.8	9,442.3

13% increase in total assets

Interim Dividend



Dividend Trend (Kshs/Share)



Interim dividend maintained at Kshs 2.50 per share



Thank You

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